

HELL'S BASEMENT BREWERY: SURVIVING A PANDEMIC

Darren Howes and Tyler Case wrote this case solely to provide material for class discussion. The authors do not intend to illustrate either effective or ineffective handling of a managerial situation. The authors may have disguised certain names and other identifying information to protect confidentiality.

This publication may not be transmitted, photocopied, digitized, or otherwise reproduced in any form or by any means without the permission of the copyright holder. Reproduction of this material is not covered under authorization by any reproduction rights organization. To order copies or request permission to reproduce materials, contact Ivey Publishing, Ivey Business School, Western University, London, Ontario, Canada, N6G 0N1; (t) 519.661.3208; (e) cases@ivey.ca; www.iveypublishing.ca. Our goal is to publish materials of the highest quality; submit any errata to publishcases@ivey.ca.

Copyright © 2022, Ivey Business School Foundation

Version: 2022-04-27

This part of the country seems to have all hell for a basement, and the only trap door appears to be in Medicine Hat. And you don't even think of changing the name of your town. It's all your own and the only hat of its kind on earth.
—Rudyard Kipling, 1907

On January 4, 2021, Mike Patriquin was contemplating the tumultuous year of 2020 and its impact on operations at Hell's Basement Brewery (HBB). Many recent events, both within the brewery and externally, had affected his business. Management had recently restructured financially after buying out some of the original partners, and the remaining owners and management were still dealing with the effects of the global COVID-19 pandemic. The brewery had also received some unexpected media coverage. Patriquin was pondering what the next steps for HBB should be given the volatile nature of the industry in these unprecedented times. Patriquin had many options to consider, as he intended to increase sales in Alberta and, with recent changes to importing rules between provinces, possibly enter the Saskatchewan market.¹ He was also interested in determining whether the company should be increasing marketing efforts and, if so, whether an internal or an external sales force would be more beneficial. Finally, Patriquin potentially needed to rebrand one of his beers in light of media coverage the brewery had received after an oversight in the naming of the beer. With all of this to consider, Patriquin needed to prioritize his future growth strategy.

HELL'S BASEMENT BREWERY: COMPANY HISTORY

HBB was formed in November 2015 by six partners in Medicine Hat, Alberta, Canada, following the removal of minimum production requirements in the province that had presented a barrier to entry for smaller-scale craft beer producers. At the time, Medicine Hat bylaws restricted brewery operations to areas zoned only for industrial use. Site locations were limited to two industrial parks in the city: the southwest light industrial park (an older, established industrial park) and Brier Park (a newer, less established park on the outskirts of the city). Canada was also in a period of economic recession, and while buildings for lease were readily available, very few suitable buildings were up for sale.² Leasing was not considered a feasible option, as installed brewery equipment was expensive and exceedingly difficult to move should a new lease be required. Building purchase was considered the only viable option. A location for the brewery was secured in February 2016 at the former location of a Culligan water plant.

The recessionary conditions that existed at the time also meant that construction contractors were available to start work on the brewery immediately. Construction began following a month of demolition, brewing equipment was received in May 2016, and brewing commenced in early July. Following a week of private events, HBB officially opened its taproom to the public on August 12, 2016, just six short months after taking possession of the building. This was a particular point of pride among the owners, as starting a brewery could typically take upward of two years.

HBB opened with a tremendous amount of excitement in the community, being the first brewery to open in Medicine Hat since the early 1900s and during a period when most news announcements were about the closure of more and more local businesses. HBB was also the 40th Class E (liquor manufacturing) facility to open in Alberta. According to Patriquin, the level of support for the brewery was so great that the city nearly drank the brewery dry in the first two weeks of operations.

The initial business plan had included distributing beer throughout Alberta, but with the strong local support, HBB was unable to distribute beyond Medicine Hat in the first partial year of operation. Within a few weeks of opening, additional fermentation equipment that was in place for future expansion was brought online to boost production. By January 2017, HBB was sending its first shipments to Connect Logistics Services (CLS), the central government-controlled warehouse that allowed for a structured distribution system for any licensee in Alberta.

CHANGES AT HBB

The craft beer market in Alberta had recently seen some dramatic changes, and HBB had made some commensurate updates. By 2020, there were well over 100 Class E manufacturers in Alberta, with two other craft breweries and a craft distillery within Medicine Hat alone.³ The market had become far more crowded, and the consumer had more choices than ever. Since its inception, and now in its fourth year of operation, HBB had achieved several accomplishments and undergone many changes, including the following:

- An ownership change that saw two of the original owners exit the business.
- A change in head brewer.
- Winning 14 beverage awards, including a coveted World Beer Cup award (HBB was one of only two breweries based in Alberta to have won an award in this prestigious competition).
- In-progress market expansion into Saskatchewan and Manitoba.
- Financial restructuring following the ownership change.
- The introduction of new product lines, including a non-alcoholic root beer and ready-to-drink beverages blended with spirits.
- A revamp of the core beer lineup that saw the replacement of a basic blonde ale with (the now best-selling) Huruhuru New Zealand Pale Ale.

BEER INDUSTRY IN CANADA

Beer was the most popular alcoholic beverage consumed in Canada, followed by wine and spirits.⁴ The beer industry was expected to have CA\$6.8 billion⁵ in sales by the end of 2021; however, this mature industry was slowing in growth at an annualized rate of 0.1 per cent per year.⁶ The industry was dominated by a few major players in Canada. The two largest were Molson Coors Beverage Company (consisting of industry brands Molson, Pilsner, Coors Light, and Rickards, among others) and Anheuser-Busch InBev (consisting of the brands Budweiser, Labatt, Kokanee, and Lucky, among others), together accounting for nearly 58 per cent of

market share in 2016, with 26.9 per cent and 31 per cent, respectively.⁷ The number of breweries in Canada had also been increasing in recent years, but most of the growth was in smaller, local craft breweries. The number of breweries in Canada increased by 12.9 per cent between 2018 and 2019 from 995 to 1,123 breweries across the country, and then by another 8 per cent between 2019 and 2020 to 1,210; at the same time, the amount of domestic beer being sold had declined from 18.6 million hectolitres (hl) to 17.8 million hl, while sales of imported beer increased 1.4 per cent between 2018 and 2019, with domestic sales remaining flat into 2020 and import sales seeing a decline of 8 per cent (see Exhibits 1 and 2).

Key external drivers within the beer industry in Canada included per capita disposable income, per capita alcohol consumption, the world price of wheat, the world price of aluminum, and the Canadian dollar effective exchange rate index.⁸ In good economic times, consumers were likely to drink more beer or drink premium beers. During economic downturns, cheaper beer became more attractive. The price of inputs such as wheat and aluminum had an impact on the bottom line of breweries. Increases to input prices might not be able to be directly passed on to consumers. Furthermore, for several months in 2020, there had been a concern of a 10 per cent tariff being placed on Canadian aluminum entering the United States, which could affect prices.⁹ The exchange rate of the dollar could affect domestic consumption and exports.

Men continued to dominate Canadian beer consumption, consuming almost 72 per cent of the beer consumed overall in Canada, though women's consumption of beer had increased steadily between 2011 and 2016.¹⁰ Men between the ages of 19 and 34 tended to consume the largest quantity of beer (see Exhibit 3).

CRAFT BEER INDUSTRY

The craft beer industry had seen significant growth in recent years. The craft brewing phenomenon that had taken place in United States, however, had not been as significant in Canada due to higher regulatory costs in the country, with provincial liquor control boards regulating distribution.¹¹ On top of the regulatory costs, there was also, on average, a 47 per cent price increase on beer due to taxes and liquor board markups.¹² The consumer shift toward craft beer had significantly benefited the smaller producers in the industry, but this had come at the expense of the premium beer brands that were responsible for most of the industry's revenue.¹³

By 2020, there were 120 independent craft breweries in Alberta, which comprised 10 per cent of the market share in the province, and with 63 per cent of these breweries having opened after 2017, the landscape of the craft beer industry was significantly more crowded than it had been in the first half of the decade.¹⁴ Virtually all sales (99 per cent) of Alberta small craft brewers occurred in the province, with a nominal 1 per cent of sales occurring in other provinces.¹⁵ This reliance by craft brewers on Alberta sales made it difficult to increase market share within the province. Meanwhile, the median start-up cost for a new brewery was relatively high, with a cost of approximately \$780,000, though the cost could skyrocket to upward of \$1,750,000 depending on the size of the facility (see Exhibit 4).

A traditional challenge in Canada for sustaining smaller breweries was that there were not many metropolitan areas, which tended to have a larger share of creatives and millennials, and a stronger neolocalism movement—attributes that had proven to be good for craft beer sales.¹⁶ The widespread population in the country would also increase transportation costs for smaller breweries. Even as consumers were demonstrating increased interest in craft beer, a perception that beer was less healthy than wine had caused a substitution effect, slowing industry sales. Furthermore, customers were more likely to purchase more affordable, generic beer in higher quantities and craft beer in smaller quantities.¹⁷

PRODUCTION AT HBB

Labour was the highest input cost related to the production of craft beer and accounted for approximately 39.5 per cent of the costs for breweries the size of HBB (see Exhibit 5). HBB was considered a Category C brewery based on annual production of approximately 2,000 hl of product per year. HBB employed 12 employees, with some staff salaried and others paid an hourly wage (see Exhibit 6 for industry employee role and compensation). The next largest input cost in the production process was ingredients, at around 14.8 per cent of total operating costs. Other significant cost areas included space, equipment, utilities, insurance, fees, sales and marketing, transportation and vehicles, and furniture and supplies. HBB's income and balance statements were similar to industry averages (see Exhibits 7 and 8).

HBB had a 139 square metre (m²) taproom for retail and draft, and a 650 m² warehouse that included cold storage of approximately 46 m². HBB brewed product with a 20 hl, three-vessel brewhouse manufactured in Canada by DME Process Systems Ltd. on Prince Edward Island. The brewhouse consisted of a 60 hl hot water tank, a 20 hl mash tun, and a 20 hl kettle. In addition, HBB had fermentation capacity for a total of 250 hl in the following tanks:

- Four 20 hl fermenters
- Four 40 hl fermenters
- One 10 hl fermenter

The variation and number of tanks indicated that a maximum of nine different styles of beer could be fermenting simultaneously at any given time. With the current equipment, HBB could be producing upward of 3,000 hl a year of beer; the brewery could increase the quantity if it produced more spirit-blended products (i.e., vodka sodas), as these had a faster turnaround due to a shorter fermentation time.

There were two additional tanks for finishing (carbonating) the beer: a 20 hl brite tank and a 40 hL brite tank. HBB packaged its products primarily in kegs and 355 millilitre (ml) cans split 40/60, respectively. The in-house canning line, which was manufactured at Cask Brewing Systems Inc. in Calgary, had a realistic capability of filling 32 cans per minute. HBB had recently added the capability to package in 473 ml cans and rare batch 500 ml bottles, which were packaged by hand. Bottled products were intended to be used for premium lineups.

The beer production cycle consisted of milling the malt (primarily malted barley), typically done the day prior to the brew; then, the brewing itself took approximately six to eight hours. Following this, the wort (i.e., sugary water) was transferred to a fermenter where the yeast was pitched. The fermentation stage could take anywhere from a few days to a few weeks depending on the beer style and variety of yeast. For example, ale yeasts were warmer and faster top-fermenting yeasts, and lager yeasts were colder and slower bottom-fermenting yeasts. The batch turnaround times from brewing to packaging for different products were as follows:

- Lagers: 50–60 days
- Ales: 15–21 days
- Ready-to-drink spirit beverages: 3–5 days
- Non-alcoholic sodas: 3–5 days

Beer manufacturing and sales were seasonal, with the fall and winter typically being slower and the spring and summer being busier. Production commensurately slowed beginning in September and began to ramp up again in February as retailers started to stock back up for the warmer summer months. HBB had a standard

production scale that consisted of a Monday–Friday, 9:00 a.m.–5:00 p.m. week, while the taproom was open seven days a week. A legal requirement of operating the taproom was that food had to be present at all times when liquor was being sold, with “acceptable food service” consisting of five to six items that would comprise a light meal.¹⁸ The requirement did not specify what encompassed a “light meal,” but the menu had to be approved by Alberta Gaming, Liquor and Cannabis (AGLC). AGLC was an agency of the Alberta government that regulated alcohol, recreational cannabis, and gaming-related activities in the province.

GOVERNMENT REGULATIONS AND AGLC

The beer industry was heavily regulated in Canada. Health Canada regulated the industry by establishing food safety and nutritional quality standards, and the Canadian Food Inspection Agency enforced the health and safety standards in addition to packaging, labelling, and marketing regulations.¹⁹ Alcohol control boards operated in every province, with AGLC being the main regulatory body managing the industry in Alberta. AGLC operated with three guiding principles: (1) focusing on consumers; (2) reducing barriers and encouraging economic growth; and (3) focusing on public health and safety, and maintaining stakeholder integrity.²⁰ However, the perception of AGLC from breweries in the province was tepid, with over 50 per cent of brewers feeling that AGLC lacked a willingness for innovation, which brewers believed was important for their breweries.²¹ Government regulations could play a role in preventing growth within the industry due to possible restrictions placed on breweries.²² When comparing Canadian microbreweries to their American counterparts, government regulations in Canada had led to higher costs of entry into the marketplace and created a less inviting climate for investment.²³ Other government regulations existed on inputs, manufacturing, and retail. Not all government policies and regulations for breweries were negative, however. Several provincial-level policies and programs, such as the removal of minimum brewing requirements and programs like the Alberta Small Brewers Development Program, had positively affected Alberta microbreweries.²⁴

COMPETITIVE LANDSCAPE

The competitive landscape in the beer industry was intense, with national brands having a significant percentage of the overall market share, increasing importing of foreign beer, and a growing number of craft breweries saturating the marketplace. Meanwhile, national beer consumption was declining, on average, from 74.6 litres to 71.2 litres per legal drinking age individual, representing a 4.6 per cent decline between 2018 and 2019.²⁵ Many factors determined the demand for beer, including customer preferences, marketing, demographics, and government regulations.²⁶ Customer brand preferences based on brand attractiveness and taste influenced demand for particular products, while companies had been attempting to attract demand through seasonal offerings, premium brands, and movement into non-beer options. Smaller breweries were able to better compete in the marketplace through product differentiation.²⁷ As companies looked for new ways to increase revenues, new product development became a common strategy. Craft breweries were looking for opportunities to find new flavours that would entice customers, especially given customer demand for other products such as vodka sodas.²⁸

For breweries to be successful, they needed to focus on effective quality control, economies of scale and scope, having a cost-effective distribution system, and effectively establishing brand names.²⁹ Ensuring batches of beer were crafted the same way each time to maintain constant flavouring was important to match consumer desires. Consumers were fickle, with many product options in the market, and a single poor experience with a product could deter them from repurchasing the brand again in the future. Economies of scale lowered the production costs of the brewery and increased profitability. Economies of scope related

to the product mix and being able to produce and distribute complementary products. Transportation and shipping costs could be expensive for breweries attempting to get their product to other communities or remote customers, and environmental impact was a concern. Efficient distribution of craft beer could lower costs and possibly make the beer more cost-effective for consumers, which could increase demand for craft beer. Last, brand names might allow the brewery to develop brand loyalty and repeat sales.

The Medicine Hat market featured three craft breweries; HBB had been the first to open in the market, followed by Medicine Hat Brewing Company and Travois Ale Works. Medicine Hat Brewing Company was of a similar size to HBB and typically had 20 beer varieties on tap in its taproom.³⁰ Medicine Hat Brewing Company differed slightly in that a restaurant also operated out of its taproom, whereas HBB did not have a full kitchen. Travois Ale Works was the newest competitor and was a smaller microbrewery located in downtown Medicine Hat. Grit City Distillery, a local craft distillery, produced vodka, gin, and canned beverages such as vodka root beer and canned Caesars (a Caesar was a cocktail created and primarily consumed in Canada). Each of the breweries had developed a loyal following, with many customers remaining brand loyal to their local brewery of choice. The community of Brooks, which was 100 kilometres from Medicine Hat, had two of its own breweries: Piston Broke Brewing and Canadian Beaver Brewing & Distilling Company Ltd. HBB obtained 50 per cent of its sales from Medicine Hat and 50 per cent from the rest of Alberta. While the market was immensely competitive, Patriquin remained committed to the venture and felt the firm had developed the necessary resources and capabilities to create a competitive advantage.

COMPANY OPERATIONS

Products and Product Development

HBB's canned product line included 11 beers. In HBB's online shop, the beer was organized into five categories. As of January 2021, the Easy Drinking category included Soul Squeeze Session, Pilling Me Softly, Huruhuru, and Fruit Bat. The India pale ales (IPAs) included No Man Is an Island, the Yard Pineapple Milkshake, One Shot Left, and All Hops for a Basement. HBB offered two dark beers, Ghost Train Oatmeal Stout and Ryes Against the Machine. It offered one wheat beer, in a can, named He Ain't Hefe He's My Brother. Last, the Not Beer category included crisis-grade hand cleanser (produced in the brewery during the COVID-19 pandemic); a non-alcoholic root beer; a cider beverage named Lovin' Cider; and three alcoholic drinks produced in partnership with Grit City Distillery—Pina Colada Vodka Soda, Spiked Root Beer, and Forbidden Fruit Gin and Soda. HBB also had two additional beers in the taproom: Phoenix Double IPA and Irish Red Ale. A six-pack of beer cans typically sold for between \$12.38 and \$15.71, and a four-pack of tall cans for between \$12.38 and \$14.29. A six-pack of the Grit City Distillery drinks retailed for between \$13.33 and \$16.99, and a six-pack of non-alcoholic root beer for \$7.62. HBB also had a selection of merchandise that it sold in both its online store and its taproom. Pints in the taproom were typically sold for \$8.00. Cans comprised 60 per cent of sales at HBB, while kegs comprised the other 40 per cent of sales. The overall industry average for sales of cans in Canada was 65 per cent (see Exhibit 9).

The naming of HBB's products initially began with an ode to Medicine Hat theme, but this was later switched to a musical theme, with the brands named after songs. For example, Soul Squeeze referenced a song by the Red Hot Chili Peppers and Pilling Me Softly a song by the Fugees. Marketing strategies of microbreweries often connected to consumers by branding in ways that spoke to locality.³¹ HBB would also produce other beers for sale in its taproom and create smaller sampling casks of different flavours. The latest foray for Patriquin was into packaging small-scale beer offerings in 500 ml bottles. The plan was to offer bottles of unique, limited-run premium beer. Patriquin was trying to determine whether the current product mix was appropriate.

During the pandemic, HBB received some grant money from a local organization to help with adaptations to the situation created by COVID-19 or create new sources of revenue. Patriquin applied for, and received, a \$15,000 grant, the majority of which he used to purchase a TurboChef oven to increase food offerings at the taproom.

Distribution

HBB self-distributed to other pubs and retailers throughout Medicine Hat and southern Alberta, including Lethbridge, Brooks, and Taber, and multiple stops in between. Most products were also shipped to CLS, the central warehouse run by AGLC, in St. Albert. CLS benefited producers by providing access to all liquor licensees in Alberta and board-to-board transfers to other provinces. CLS was convenient for accessing a distribution network but also came at a cost—CLS charged fees for receiving, storage, and sending out orders. Approximately half of HBB sales came through self-distribution, while the other half was gained through CLS. HBB was currently undertaking a review to assess if greater self-distribution would offer significant cost savings compared to CLS distribution.³²

There were currently over 400 licensees in Alberta, Saskatchewan, and Manitoba that carried HBB products in some form. Licensees carrying HBB products ranged from small, independent, specialty craft beer stores to major retail chains such as Sobeys Inc./Safeway Inc. and Alcanna Inc. (Alcanna), the parent company of Wine and Beyond, Liquor Depot, and Ace Liquor. HBB also worked hard to be locally relevant, for example through custom beer labels for charitable fundraisers or unique community events and weddings.

Sales grew quickly from 2016 to 2018 but then levelled off and even dropped when Alcanna, which represented over 150 retail stores in Alberta, suspended its craft beer program during a corporate restructuring. During this phase, many more craft breweries entered the market in Alberta, and HBB experienced high competition. In response, HBB hired a full-time local sales representative as well as a sales agency to represent its products throughout Alberta, Saskatchewan, and Manitoba. This period was followed by the global COVID-19 pandemic, which meant that taproom draft sales had to be suspended for two months; however, this also resulted in increased retail sales.

The Impact of the COVID-19 Pandemic

One of the biggest impacts and challenges affecting HBB, and practically everyone in some capacity in 2020, was the novel coronavirus. In April 2020, Patriquin was provided survey results from the Canadian Craft Brewers Association, and it was from these documents that Patriquin learned that HBB was not alone in its pandemic struggles: The COVID-19 pandemic was devastating to the Canadian craft beer community, as 44 per cent of breweries experienced revenue decreases of over 50 per cent in March 2020 and even bigger drops in April of that year (see Exhibit 10).³³ Access to government assistance programs and its recent financial restructuring left HBB in better financial shape than others, but it was an extremely stressful and challenging spring nonetheless. Across the country, 61 per cent of breweries had cash reserves of less than three months, and 65 per cent of brewery employees were laid off.³⁴ On the labour front, HBB fared no better than the others: Patriquin was forced to lay off his staff and close HBB's taproom in March. One interesting change that occurred during this time was that AGLC eased certain regulatory requirements, allowing HBB to start home deliveries of its beer.³⁵ Patriquin would load up his van and make deliveries as residents sheltered in place in their homes. A second change that occurred during this time was that HBB started to make hand cleanser that could be used in the community to help deal with a national shortage of the product.

COVID-19 case numbers in Medicine Hat stayed below 10 for the summer, and the taproom was able to reopen in May 2020. Although it was not back to "business as usual," there was at least a sense of normality.

At this time, a new seasonal outdoor patio called the Yard opened in downtown Medicine Hat and provided another avenue for keg sales for HBB; additionally, its regular customers were again ordering stock, as establishments began to see increased customers. Furthermore, governmental programs such as the Canada Emergency Response Benefit (CERB) were attempting to support citizens financially during the pandemic, leaving some purchasing power in the hands of consumers.³⁶ During COVID-19 in 2020, HBB had received \$14,000 in wage subsidies as well as a loan of \$16,000 from CERB. But in January 2021 Patriquin was again dealing with the uncertainty of potential future lockdowns as a possible “second wave” of the pandemic had caused significant increases in case numbers in the province and in many regions across the country.³⁷

Sales Growth

Breaking into geographic regions outside the local city could be challenging for craft breweries. HBB had been the first brewery to open in Medicine Hat since the original Medicine Hat Brewing Company started brewing beer in 1912.³⁸ Though the local clientele had almost drunk HBB dry in its first weeks of operation, sales at HBB were harder to come by as subsequent breweries opened in the city. Yet HBB had a dedicated local Medicine Hat clientele and tangible sales in other locations nearby. Patriquin was considering how to increase sales across the province, given customers’ loyalty to their local establishments and the difficulty of “breaking in” to other communities. From experience, Patriquin knew that, in the Calgary market, it was extremely difficult to get taps in bars and restaurants, as there was a penchant for customers to support their local craft brewers. Edmonton was somewhat easier but still a bit of an upsell. Patriquin felt that the time was right to create a sales force. But he was unsure about the size of the sales force and whether it should be internal (hired by and working directly for HBB) or whether he should contract an external sales force. The external sales force would be commission based but would likely also be working for other clients.

HBB currently brewed all of its own beer, whereas some smaller breweries contracted out the brewing of beers to larger facilities: The breweries would provide their recipe to the facility, and the beer would be canned for them. Approximately 30 per cent of breweries in Alberta had used contract brewing in the past; doing so provided opportunities for trialling product, increased production capabilities, provided flexibility, and gave new brewers access to professional facilities.³⁹

Advertising and Social Media

Typically, advertising was done locally in Medicine Hat and the surrounding area. HBB had a Facebook page, Twitter account, Instagram account, and company website to promote the brewery. Patriquin had previously tried radio advertisements and advertisements in liquor retailer magazines but was not convinced of their effectiveness. Attending numerous beer festivals and tasting events across the province (such as the Calgary International Beerfest) was also considered a form of advertising for HBB. A new sales team would be used to develop contacts through relationship building. Median spending on marketing for craft breweries was \$4,000 per year.⁴⁰ In contrast, major brewers tended to focus their advertising efforts on celebrity endorsements and prime-time television spots.⁴¹

Unexpected Media Coverage

In early August 2020, one of HBB’s most popular beers, Huruhuru, made headlines in the national and international news—but not for the light body and subtle citrus flavour of the beer, made from New Zealand hops. It was brought to Patriquin’s attention that HBB was being called out on social media by an individual stating that the word *huru* was Maori for “pubic hair.” Although the online *Te Aka Māori Dictionary* listed

multiple meanings for the word, including “feather,” the dictionary did include the term “puke huruhuru,” which indeed referred to pubic hair.⁴² In a subsequent Canadian Broadcasting Corporation news article, Patriquin responded by saying the intended interpretation had been “feather”—to indicate the beer itself was light as a feather.⁴³ Contrary to what Patriquin feared, the effect of the unintended media coverage actually increased beer sales in the subsequent weeks and months, and demand for the beer grew from all corners of the globe. Patriquin, who by no means had meant for the name to be offensive to anyone, committed to rebranding the beer. Considering the beer’s success, however, Patriquin was now wondering if rebranding was necessary and, if so, how it should be rebranded.

THE FUTURE

Strategic planning during a pandemic was complex but still necessary. With another potential lockdown threatening, the timeline for action was short. What were the most acute opportunities and threats of the industry? What were the strengths and weaknesses of the company? In an effort to increase revenue and profitability, Patriquin wanted to increase sales, but what strategies could he use for growth? Should he hire a larger sales force? If so, should it be an in-house sales force or should it be outsourced? How much should HBB spend on marketing, and what types of marketing platforms should it use? What should Patriquin do with the branding of HBB’s best-selling beer given its new, unexpected notoriety? Could the firm continue to survive the pandemic in a highly competitive market?

Patriquin had many decisions to make in the coming days and wondered whether he could do everything he wanted or if he would need to prioritize. If he did have to prioritize, which strategic options should be implemented, and in what order? After a crazy 2020, HBB management wanted to set itself up for success in 2021.

EXHIBIT 1: NUMBER OF BREWERIES IN CANADA, 2015–2020

2015	2016	2017	2018	2019	2020
564	695	817	995	1,123	1,210

Source: Created by the case authors using "National Overview: Canada at a Glance," Beer Canada, accessed November 22, 2020, <https://industry.beercanada.com/national-overview>.

EXHIBIT 2: DOMESTIC AND IMPORT BEER SALES, 2014–2019 (HECTOLITRES)

	2015	2016	2017	2018	2019	2020
Domestic	18,943,148	18,815,142	18,538,899	18,589,014	17,864,756	17,856,696
Import	3,558,339	3,581,579	3,616,556	3,494,625	3,546,916	3,261,534

Source: Created by the case authors using "National Overview: Canada at a Glance," Beer Canada, accessed November 22, 2020, <https://industry.beercanada.com/national-overview>.

EXHIBIT 3: MAJOR MARKET SEGMENTATION OF BEER CONSUMPTION, 2016 (%)

Women aged 19–34	14.9
Women aged 35–44	4.4
Women aged 45–64	8.4
Women aged 65 and older	0.8
Men aged 19–34	30.5
Men aged 35–44	13.6
Men aged 45–64	24.0
Men aged 65 and older	3.4

Source: Created by the case authors using Nick Petrillo, *Breweries in Canada – Market Research Report*, IBISWorld, Industry Report 31212CA, accessed November 18, 2020, www.ibisworld.ca.

EXHIBIT 4: START-UP COSTS BY BREWERY SIZE IN ALBERTA, 2019 (CA\$)

Item	Overall	Category A Brewers (n = 15)	Category B Brewers (n = 10)	Category C Brewers (n = 10)	Category D Brewers (n = 11)
Total	780,000	324,000	1,090,000	650,000	1,750,000
Brewing equipment & supplies	300,000	110,000	375,000	250,000	750,000
Capital, infrastructure, and Construction	25,000	45,000	625,000	200,000	800,000
Other expenses	37,500	1,500	50,000	40,000	90,000
Ingredients	15,000	3,000	20,000	10,000	27,500

Source: Created by the case authors using Stone–Olafson and Alberta Beer, *Member Engagement Research*, March 2020.

EXHIBIT 5: OPERATIONAL COSTS OF BREWERIES IN ALBERTA, 2019 (CA\$)

Median spending	Overall	Category A (<500 hl)	Category B (501–1,000 hl)	Category C (1,001–2,500 hl)	Category D (1,500+ hl)
Total	478,300	87,000	478,150	885,300	1,917,500
Labour	75,000	16,000	95,000	337,700	530,000
Ingredients	46,500	11,300	46,500	126,500	367,395
Space	29,000	14,790	45,000	52,000	110,000
Equipment & supplies	13,000	11,200	20,000	25,000	48,500
Utilities	12,000	4,650	19,000	21,500	60,000
Insurance	5,000	2,390	7,000	6,000	12,000
Fees	4,000	1,870	5,000	11,250	6,000
Sales & marketing	4,000	1,190	10,000	7,500	55,000
Transportation & vehicles	2,000	560	5,000	11,250	25,000
Furniture & supplies	2,000	970	2,900	5,700	10,300
Base: all respondents	n = 46	n = 15	n = 10	n = 10	n = 11

Note: hl = hectolitres.

Source: Created by the case authors using Stone–Olafson and Alberta Beer, *Member Engagement Research*, March 2020.

EXHIBIT 6: ALBERTA BREWERY EMPLOYEE ROLE AND COMPENSATION TYPE, 2020 (%)

Role type	Salary	Hourly
Event staff—16	6	94
Taproom—32	10	90
General labourer—16	10	90
Shift brewer—6	48	52
Head brewer—6	72	18
Management—12	85	15
Sales staff—12	88	12

Source: Created by the case authors using Stone–Olafson and Alberta Beer, *Member Engagement Research*, March 2020.

EXHIBIT 7: HELL'S BASEMENT BREWERY INCOME STATEMENT, 2018–2020 (CA\$)

		2020	2019	2018
REVENUE				
	Sales	555,568	1,289,200	1,105,235
	CEBA	16,000		
	Pandemic wage support	14,000		
Cost of sales				
	Opening inventory	118,985	112,252	102,525
	Ingredients	96,224	215,602	173,574
	Packaging	87,779	194,448	154,732
	Closing inventory	159,685	118,985	112,252
TOTAL COST OF SALES		143,303	403,317	318,579
GROSS PROFIT		442,265	885,883	786,656
EXPENSES				
	Furniture & supplies	2,126	5,456	5,750
	Transportation & vehicles	21,231	13,524	11,250
	Labour	219,608	346,143	337,710
	Insurance	12,821	12,638	12,167
	Amortization	99,957	112,025	121,502
	Interest	61,458	41,146	44,769
	Equipment & supplies	28,852	28,969	26,491
	Sales & marketing	4,835	5,556	4,512
	Fees (banking, accounting, other)	3,510	3,420	3,250
	Utilities	52,688	64,857	61,587
TOTAL EXPENSES		507,086	633,734	628,988
INCOME FROM OPERATIONS		-64,821	252,149	157,668
INCOME TAXES		3,118	33,944	14,686
NET INCOME		-67,939	218,205	142,982

Note: CEBA = Canada Emergency Business Account.

Source: Created by the case authors with company information.

**EXHIBIT 8: HELL'S BASEMENT BREWERY SELECT BALANCE SHEET INFORMATION, 2018–2020
(CA\$)**

	2020	2019	2018
Assets			
Total current assets	169,258	129,585	125,859
Total assets	877,666	867,411	946,233
Liabilities & equity			
Total current liabilities	54,588	50,056	46,357
Total long-term debt	637,250	531,252	580,258
Total liabilities	693,284	584,793	628,463
Total equity	184,382	282,618	317,770

Source: Created by the case authors with company information.

EXHIBIT 9: PERCENTAGE OF SALES BY PACKAGE TYPE, 2014 AND 2019

	Percentage of sales by package type, 2014	Percentage of sales by package type, 2019
Can	50	65
Bottle	40	25
Keg	10	10

Source: Created by the case authors using "National Overview: Canada at a Glance," Beer Canada, accessed November 18, 2020, <https://industry.beercanada.com/national-overview>.

EXHIBIT 10: REVENUE CHANGE AMONG CANADIAN CRAFT BREWERIES, MARCH 2019–2020

Answer Choices	Responses	Percentage
Down by 50% or more	127	43.9
Down by 25%	73	25.3
Down by 10%	30	10.4
About the same	25	8.7
Up by 10%	13	4.5
Up by 25%	10	3.5
Up by 50% or more	11	3.8
Answered	289	100

Source: Created by the case authors using Canadian Craft Brewers Association, *Effects of COVID-19 on the Canadian Craft Brewing Sector*, accessed November 18, 2020.

ENDNOTES

- ¹ Peter Kirby and Nicolas Charest, "International Trade & Customs Law Bulletin," Fasken, May 9, 2019, <https://www.fasken.com/en/knowledge/2019/05/2019-budget-loosening-restrictions-on-the-interprovincial-trade-in-wine-and-beer/>.
- ² Pete Evans, "It's Official – Canada's Economy Is in a Recession, C.D. Howe Says," CBC, May 1, 2020, <https://www.cbc.ca/news/business/canada-recession-economy-1.5552135>
- ³ Stone–Olafson and Alberta Beer, *Member Engagement Research*, March 2020.
- ⁴ Beer Canada, *National Overview*, accessed November 22, 2020, <https://industry.beercanada.com/national-overview>.
- ⁵ All dollar amounts are in Canadian dollars unless otherwise specified.
- ⁶ Nick Petrillo, *Breweries in Canada – Market Research Report*, IBISWorld, Industry Report 31212CA, accessed November 18, 2020, www.ibisworld.ca.
- ⁷ Petrillo, *Breweries in Canada*.
- ⁸ Petrillo, *Breweries in Canada*.
- ⁹ Kathleen Harris and Alexander Panetta, "U.S. Calls Off Tariffs on Canadian Aluminum --- For Now," CBC, September 15, 2020, <https://www.cbc.ca/news/politics/aluminum-tariffs-trade-trump-trudeau-1.5724391>.
- ¹⁰ Petrillo, *Breweries in Canada*.
- ¹¹ Petrillo, *Breweries in Canada*.
- ¹² The Conference Board of Canada, *Brewing Up Benefits: The Economic Footprint of Canada's Beer Economy*, January 15, 2018, <https://www.conferenceboard.ca/e-library/abstract.aspx?did=9329>.
- ¹³ Petrillo, *Breweries in Canada*.
- ¹⁴ Stone–Olafson and Alberta Beer, *Member Engagement Research*.
- ¹⁵ "This Is Alberta Beer," Alberta Beer, accessed November 20, 2020, <http://alberta.beer/>.
- ¹⁶ Michael Moore, Neil Reid, and Ralph McLaughlin, ch. 9, "The Locational Determinants of Micro-Breweries and Brewpubs in the United States," in *Brewing, Beer and Pubs: A Global Perspective*, ed. Ignazio Cabras, David Higgins, David Preece (London, UK: Palgrave Macmillan, 2016), 182–204.
- ¹⁷ Petrillo, *Breweries in Canada*.
- ¹⁸ Alberta Gaming, Liquor and Cannabis, *Liquor Manufacturer Handbook*, December 14, 2020, https://aglc.ca/sites/aglc.ca/files/2021-02/21-02-04_LM_Handbook_0.pdf.
- ¹⁹ Petrillo, *Breweries in Canada*.
- ²⁰ "Who We Are," AGLC, accessed November 22, 2020, <https://aglc.ca/about-us/who-we-are>.
- ²¹ Stone–Olafson and Alberta Beer, *Member Engagement Research*.
- ²² Jonathon Krieger, "Craft Breweries: The Challenge of Doing Business in a Crowded Market," Grant Thornton, April 2, 2020, <https://www.granthornton.ca/insights/craft-breweries-the-challenges-of-doing-business-in-a-crowded-market/>.
- ²³ Petrillo, *Breweries in Canada*.
- ²⁴ Stephanie Brianne Budynski, "The Effects of Policy and Clustering in Alberta's Expanding Microbrewery Industry" (master of science dissertation, University of Alberta, 2019), https://era.library.ualberta.ca/items/8f7cbce2-2c0d-4065-9d58-10f63dfdda57/view/110a536a-40e2-41bd-a5d9-b53c7e1093e7/Budynski_Stephanie_B_201903_MSc.pdf.
- ²⁵ "This Is Alberta Beer."
- ²⁶ Petrillo, *Breweries in Canada*.
- ²⁷ Isabelle Nilsson, Neil Reid, and Matthew Lehnert, "Geographic Patterns of Craft Breweries at the Intraurban Scale," *Professional Geographer* 70, no. 1 (2018): 114–125.
- ²⁸ Petrillo, *Breweries in Canada*.
- ²⁹ Petrillo, *Breweries in Canada*.
- ³⁰ "Our Beer: Southern Alberta's Finest," Medicine Hat Brewing Company, accessed March 14, 2021, <https://medicinehatbrewingcompany.ca/the-beer/>.
- ³¹ Steven M. Schnell and Joseph F. Reese, "Microbreweries, Place, and Identity in the United States," in *The Geography of Beer*, ed. Mark Patterson and Nancy Hoalst-Pullen (Dordrecht, Netherlands: Springer, 2014), 167–187.
- ³² "Custom Shipping," Connect Logistics, accessed March 14, 2021, <https://www.connect-logistics.com/custom-shipping>.
- ³³ Canadian Craft Brewers Association, *Effects of COVID-19 on the Canadian Craft Brewing Sector*, April 27, 2020.
- ³⁴ Canadian Craft Brewers Association, *Effects of COVID-19*.
- ³⁵ "Cocktails On-Demand and Virtual Tastings Delivered to Your Door," AGLC, December 14, 2020, <https://aglc.ca/news/cocktails-demand-and-virtual-tastings-delivered-your-door>.
- ³⁶ "Canada Emergency Response Benefit (CERB)," Government of Canada, accessed February 26, 2021, <https://www.canada.ca/en/services/benefits/ei/cerb-application.html>.
- ³⁷ "COVID-19 Info for Albertans," Government of Alberta, accessed November 21, 2020, <https://www.alberta.ca/coronavirus-info-for-albertans.aspx>.
- ³⁸ "Medicine Hat Breweries," Medicine Hat Accommodation Association, accessed November 20, 2020, <https://www.stayinmedicinehat.com/medicine-hat-breweries#:~:text=In%201912%2C%20the%20Medicine%20Hat,keep%20a%20good%20thing%20down>.
- ³⁹ Stone–Olafson and Alberta Beer, *Member Engagement Research*.
- ⁴⁰ "This Is Alberta Beer."
- ⁴¹ Petrillo, *Breweries in Canada*.
- ⁴² Te Aka, *Māori Dictionary*, s.v. "huru," accessed October 28, 2020, <https://maoridictionary.co.nz/search?idiom=&phrase=&proverb=&loan=&histLoanWords=&keywords=huru>.
- ⁴³ Rhiannon Johnson, "Alberta Brewery Apologizes for Misusing Maori Language, Naming Beer 'Pubic Hair,'" CBC, August 8, 2020, <https://www.cbc.ca/news/indigenous/alberta-brewery-maori-pubic-hair-1.5678566>.